Office of the City Attorney

To: Mayor of Berkeley and Members of the Berkeley City Council

From: City Attorney's Office

Subject: CAO Budget Reduction Proposal for FY27

Date: May 14, 2026

Dear Mayor Ishii and Members of the Berkeley City Council:

On April 23, 2026, The City Attorney's Office (CAO) staff made a budget presentation to the Budget and Finance Committee, detailing allocated and actual spending for FY25/26 and presented a budget proposal for FY27/28. The presentation reflected the CAO's efforts to reduce the non-personnel budget but did not include any personnel reductions beyond the one Senior Legal Secretary position that was reduced in establishing the FY27 baseline budget.

At the meeting, members of the Committee requested more details on the budget reductions and that the CAO explore further reductions. Below, the CAO details reductions made in non-personnel spending and proposes eliminating an additional existing staff position (Paralegal) to further reduce personnel spending.

Of significant importance in understanding the CAO budget through FY25/26 and heading into FY27/28, is that the funding needed for outside legal and professional services (nearly 1.4 million dollars spent in each FY25 and FY26) was funded using salary savings and roll up cost savings from the CAO budget in previous years. Due to the volume and complexity of recent and ongoing litigation this level of spending with outside counsel will continue

into the new fiscal year and the CAO does not expect to have sufficient savings from FY26 to roll into FY27 as we have in years past. Therefore, in establishing the FY27 baseline budget, the CAO included $1.3 million in funding for outside legal and professional services. As we near the end of FY26, we will have a better understanding of any potential savings that may be carried over into the next budget cycle and will report this back to Council, but current projections indicated that we will have far less than what we were able to carry-over in the last two years to fund these services.

Since the April 23, 2026 Budget and Finance Committee meeting, the CAO has proposed eliminating one of only two Paralegal positions to help meet budget reduction goals. As explained more fully below, while there is concern that eliminating this position could increase our dependence on outside legal and professional services, potentially at a higher cost, we are prepared to make this reduction if Council requires it. In the table below, the CAO shows reductions from the FY27 baseline budget totaling 4.3%, exclusive of funding for outside legal and professional services.

	CAO Budget Reduction for FY27		
	FY27 Baseline	**FY27 Baseline Budget with Reduction**	**% Reduction**
Non-Personnel	$517,760	$465,304	10.1%[1]
Personnel	$5,876,031	$5,651,031	3.8%
Totals	**$6,393,791**	**$6,116,335**	**4.3%**

To further detail the budget reductions proposed, the tables below show changes to both non-personnel and personnel budgets in comparison to the FY26 budget allocations, the FY27 baseline budget and the current FY27 reductions.

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[1] In calculating this percentage, we have not included the funding allocation for outside and professional services in the denominator. Without including this line item, the CAO is proposing to reduce the non-personnel budget by over 10%. The reductions in non-personnel spending climbs to over 20% of *discretionary* non-personnel spending, when factoring in that items such as Communication and Mail Services, Tech Cost Allocation Fund and Building and Facilities Maintenance for 2180 Milvia and 1947 Center Street, are required costs that CAO cannot reduce (See Exhibits 1 & 2 enclosed).

Non-Personnel Budget Reduction

ACCT DESCRIPTION	2026 ADOPTED BUDGET	FY27 Baseline Department Proposal	FY27 Budget W/ Reduction
RENTAL OF REAL PROPERTY	842.96	-	-
RENTAL OF EQUIPMENT	5,000.00	-	-
COMM SVCS - TELE - LANDLINE	1,000.00	1,149.50	1,149.50
COMM SVCS - OTHER	20,520.00	20,520.00	20,520.00
ADVERTISING	1,000.00	-	-
TRAIN AND CONF - REGISTRATION	17,912.93	10,000.00	-
TRAVEL - AIRFARE	3,371.85	-	-
TRAVEL - LODGING	22,127.74	14,000.00	-
TRAVEL - LODGING	-	-	-
TRAVEL - OTHER TRANSPORTATION	4,741.66	3,000.00	-
TRAVEL - MEALS	2,107.40	1,500.00	-
PRINTING AND BINDING	3,161.11	1,100.00	-
FEES - PROF DUES AND FEES	6,130.00	7,500.00	7,500.00
COURIER AND DELIVERY SERVICES	5,268.51	4,298.18	3,000.00
SUPPLIES - OFFICE	6,322.21	5,845.81	1,000.00
SUPPLIES - POSTAGE	1,053.70	727.98	1,000.00
SUPPLIES - BOOKS AND SUBSCRIP	65,500.00	180,000.00	172,000.00
SUPPLIES - FOOD - NON-EMPLOYEE	210.74	-	-
NON-CAP - COMP, SOFTWARE & OFE	3,000.00	11,984.11	3,000.00
NON-CAP - FURNITURE & FIXTURE	-	-	-
CAP - FA - MACHINERY & EQUIPME	2,070.00	-	-
CAP - FA - FURNITURE & FIXTURE	720.00	-	-
CAP - FA - COMPUTER EQUIPMENT	2,233.81	-	-
INT SVC - FACILITIES MAINTENAN	62,640.00	62,640.00	62,640.00
INT SVC - 1947 CENTER FAC MAIN	20,047.00	20,047.00	20,047.00
INT SVC - TECH COST ALLOC FUND	168,670.28	168,670.28	168,670.28
INT SVC - MAIL SERVICES	3,528.00	3,528.00	3,528.00
INT SVC - CITY PKG PERMITS	1,250.00	1,250.00	1,250.00
	430,429.90	**517,760.86**	**465,304.78**

*Note - items in the table above such as: Communication and Mail Services, Tech Cost Allocation Fund and Building and Facilities Maintenance for 2180 Milvia and 1947 Center Street, which cannot be reduced.

Personnel Budget Reductions

	FY26 Funding Allocation	FY27 Baseline (12/19/25)	FY27 Reductions
Sr. Legal Secretary (1) (Currently Vacant)	$142,630	$142,630	$0
Paralegal (1) (Filled Position)	$201,650	$0	$201,650
Totals	**$344,280**	**$142,630**	**$201,650**

CAO offers this additional potential personnel reduction with great reservation and a significant note of caution. This proposal would eliminate a currently filled paralegal position and maintain a vacancy in the Senior Legal Secretary role. This would result in critical understaffing for CAO, which relies on paralegals and legal secretaries to, among many specialized tasks, prepare mandatory court tables and appendices, exhibits, and discovery requests, draft declarations, review and produce litigation and PRA documents, respond to subpoenas, set up depositions and prepare witness exhibits, file documents with the court and deliver mandatory courtesy copies, track court deadlines and save documents in our files, and handle and track a high volume of administrative claims.

If a paralegal position were eliminated, CAO would be left with just two legal secretaries and one paralegal to support approximately 90 lawsuits a year and hundreds more claims and PRAs. This would have a significant negative impact on CAO's ability to deliver high-quality legal services to the City and impose even greater burdens on an already-stretched team of lawyers who will be taken away from critical advice work to engage in administrative activities that they are currently not trained to perform.

Without adequate in-house resources to support litigation and claims processing, CAO may be unable to effectively represent the City in matters of great importance and potential fiscal impact. As that would be an unacceptable result, making these cuts could, perversely, require CAO to spend additional funds on outside resources, including by leveraging outside counsel's support staff.

Sincerely,

Farimah Brown

Farimah F. Brown

City Attorney